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The Japanese post-war economic miracle was Japan's record period of economic growth between post world war II era to the end of cold war. During the economic boom, Japan rapidly became the world's second largest economy by the 1960s.

Background of Japan's Development:

After world war II Japan benefited greatly from cold war. After world war II, USA established a significant presence in Japan to slow the expansion of Soviet influence in the Pacific. USA was also concerned with the growth of the economy of Japan because there was a risk after world war II that an unhappy and poor Japanese population would turn to communism and by doing so ensure that the Soviet Union would control the Pacific. That's why USA always stay with Japan with aid and assistance.

Distingushing characteristics of miracle years:

The distingushing characteristics of the miracle years included —

(i) The co-operation of manufacturers, suppliers, distributors and banks in closely knit groups called 'Kairetsu".

(ii) The powerful enterprise unions and shunto.

(iii) good relations with government bureaucrats.

(iv) guarantee of life-time employment in big corporations, and

(v) highly unionized blue-collar factories.

Main factors behind the success/miracle of Japan:

By the late 1960s, Japan had ~~re~~ risen from the ashes of world war II to achive an outstanding rapid and complete recovery. Main factors of this recovery were —

(i) Government Contributions:

The Japanese government contributed to the post-war Japanese economic miracle by imulating private sector growth, first by instituting regulations and protections that ~~effecting~~ effectively managed economic crisis and later by concentrating on trade expansion.

(ii) Ministry of International Trade and Industry (MITI) role:

According to Chalmers Johnson - the particular speed form and consequences of Japanese economic growth are not intelligible without reference to the contributions of MITI. Some of the MITI's contributions are —

(1) Co-operation between government and private industry:

MITI formalized co-operation between the Japanese government and private industry. The ministry co-ordinated various industry Keiretsu, toward a specific end, usually toward the interaction of national production goal and private economic interests.

(2) Untying imports of technology:

MITI also boosted the industrial ~~secur~~ security by untying the imports of technology from the imports of other goods. The low cost of imported technology allowed for rapid industrial growth. ~~Proeuditivi~~ Productivity was greatly improved through new equipment, management and ~~stran~~ standardization.